IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 13(ND)/2024 AND

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 5(ND)/2024

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

M/S. SUPERB BUILDWELL PRIVATE LIMITED

..... Petitioner Company No.1 / Transferor Company No.1

AND

M/S. PARADISE PROPBUILD PRIVATE LIMITED

..... Petitioner Company No.2 /Transferor Company No.2

AND

M/S. VRINDA REALTY (INDIA) PRIVATE LIMITED

..... Petitioner Company No.3 /Transferor Company No.3

AND

M/S. CIMCO PROJECTS LIMITED

..... Petitioner Company No.4 /Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 30.06.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant: Mr. Manoj Kumar Purbey, Company Secretary

For the IT Dept. : Mr. Sanjay Kumar Ms. Easha; Standing Counsels

For the RD : Mr. Sumit kansal Mr. Aryan Gupta, Advs.

ORDER

PER: DR. SANJEEV RANJAN, MEMBER (TECHNICAL)

1. The present Second Motion Petition is jointly filed by the M/s. SUPERB BUILDWELL PRIVATE LIMITED (**Petitioner Company No.1 / Transferor Company No.1), M/s** PARADISE PROPBUILD PRIVATE LIMITED (**Petitioner Company No.2 /Transferor Company No.2), M/s** VRINDA REALTY (INDIA) PRIVATE LIMITED **Petitioner Company No.3 /Transferor Company No.3) and M/s** CIMCO PROJECTS LIMITED (**Petitioner Company No.4 /Transferee Company)** under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation amongst the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

The Registered office of all the Petitioner Companies is situated in the NCT of Delhi therefore, both of these companies fall under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. The Petitioner Company No.1 namely M/ s. Superb Build well Private Limited, bearing CIN:U4520 0DL2006PTC154717 was incorporated on 11.10.2006 under the provisions of the Companies Act, 1956 as a Company limited by Share s (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Applicant Company No . 1 is situated at C-97, Ground Floor, Lajpat Nagar-II, New Delhi-110024. The Authorized Share Capital of the Company is Rs. 31 ,00,000/- and the issued, subscribed and paid-up share capital of the Company is Rs. 31,00,000/ -.

3. The Petitioner Company No.2 namely M/s. M/ s. Paradise Prop build Private Limited, bearing CIN:U45200DL2007PTC1600 18 was incorporated on 02/03/2007 under th e provisions of the Companies Act. 19 56, as a Company limited by Shares (Non -govt. company) with the Registrar of Companies, NCT of Del hi and Haryana. The registered office of Applicant

Company No. 2 is situated at C-97, Ground Floor, Laj pat Nagar-II, New Delhi110024. The Authorized Sha re Capital of the Company is Rs. 31,00,000/- and issued, subscribed and pa id-up share capita l of the Company is Rs. 31,00,000/-.

4. The Petitioner Company No.3 namely M/ s. Vrinda Realty (India) Private Limited, bearing CIN:U70101DL2004PTC124653 was incorporated on 13/02/2004 under the provision s of the Companies Act. 1956 , as a Company limited by Share s (Non -govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Applicant Company No. 3 is situated at C-97, Ground Floor, Lajpat Nagar-II, New Dclhi110024. The Authorized Share Capital of the Company is Rs. 50,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 5,00,000/-.

5. The Petitioner Company No.4 namely M/s. Cimco Projects Limited, bearing CIN:U70 109DL1993PLC272426 was incorporated on 01/ 10/ 1993 under the provisions of the Companies Act. 1956, as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Applicant Company No. 4 is situated at C-97, Ground Floor, Lajpat Nagar-II, New Delhi-110024. The Authorized Share Capital of the Company is Rs. 10,00,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 9,99,57,000/-

6. It is stated that the Transferor Companies viz.,M/ s. Superb Build well Private Limited, M/s Paradise Prop build Private Limited and M/s Vrinda Realty (India) Private Limited and Transferee Company viz. M/s. Cimco Projects Limited, have jointly moved the necessary second motion Petition **CP (CAA) – 13(ND)/2024** connected with the first motion Application being **CA (CAA) –5(ND)/2024**, before the National Company Law Tribunal, New Delhi.

7. Affidavits in support of the above petition has been sworn by Mr Surendra Jha, the Authorized Representative of the Petitioner Companies No. 1 to 4 who have been authorized vide board resolution dated 03.10.2023 for the Petitioner Companies No. 1 to 4 .

8. The Board of Directors of all the Petitioner Companies in their separate meetings held on 03.10.2023 approved and adopted the Scheme of Amalgamation.

9. The Scheme of Amalgamation of the above-mentioned companies is proposed to have the following benefits:

"The benefits of the Scheme, inter-alia, would be:

5.1 The amalgamation will enable the Companies to pool their financial, commercial and other resources as the magnitude of the investments contemplated will be better met by the Companies amalgamated together and considerable synergy of operations would be achieved.

5.2 With the enhanced capabilities and resources at its disposal, the Amalgamated Companies will have greater t1exibility and strength and will be able to compete more effectively as a multi dimensional entity.

5.3 The Amalgamated/Merged Companies will have better financial and business prospects. The Scheme would be beneficial to and in the best interest of the Shareholders and Creditors, if any, of the Transferor Companies and the Transferee Company. The Scheme shall not m any manner be prejudicial to the interests of concerned members I Creditors or general public at large. The Scheme shall provide strength to the Transferor Companies on its amalgamation with the Transferee Company.

5.4 It would be advantageous to combine the activities of the Transferor Companies and the Transferee Company into a single Company. The Amalgamation would provide beneficial synergy of operation from business and administrative point of view.

5.5 Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

5.6 Improved organizational capability and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.

5.7 Greater access by the amalgamated company to different market segments in the conduct of its business.

5.8 Greater access by the amalgamated company to different market segments in the conduct of its business."

10. This Tribunal by its order dated 02.02.2024 dispensed with the requirement of meetings of Equity Shareholders and Unsecured Creditors of the Petitioner Companies and since there were no Secured Creditors of the Petitioner Companies, hence, question of convening meetings of the Secured Creditors of the does not arise.

11. The Second Motion petition has been moved by the Petitioner Company in connection with the Scheme of Amalgamation. This Tribunal on 26.02.2024 passed the following order:

"This is the second motion application.

Issue notice to the RoC, RD, OL and Income Tax Department.

The Petitioner shall takes steps to serve the notice to the Statutory Authorities by all modes and file proof and Affidavit of service within two weeks.

The Petitioner is also directed to publish the notice in two local Newspapers, one in the Dainik Jagran (Hindi) and other in the Financial Express (English) in Delhi edition.

The RoC, RD, OL and Income Tax Department are directed to file report within two weeks after receipt of the notice."

12. It is submitted that in compliance of the above stated directions, the Petitioner Companies have duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published in "Dainik Jagran" (Hindi) and other in the "Financial Express" (English) in Delhi edition on issue dated 15.03.2024.

13. It is further submitted that the Transferor Company has also served the Notices of the present Company Petition to all the concerned authorities as per the direction given by this Tribunal vide order dated 26.02.2024.

14. The Regional Director along with the Registrar of Companies vide its representation/affidavit dated 04.10.2024 has not objected to the proposed scheme of the Amalgamation but has made certain observations based on the report dated 19.07.2024 of the RoC. The Transferor company has filed a

reply in response to the observations made by RoC vide its report dated 19.07.2024 The details of the same are summarized below:

Observations of the Regional Director vide affidavit/Report dated 04.10.2024 based on report of RoC dated 19.07.2024	Reply of the Petitioner Companies vide email dated 26.09.2024 to the observations raised by RoC (as reflected in the
On perusal of the audited financial statements of the companies for the FY ended 31.03.2023, it is observed that the companies have almost nil business and there are significant cross holdings of investments/shares between the applicant companies involved in the proposed scheme of merger/amalgamation and the post-merger all the said transactions would be nullified. Thus, prima facie it appears that the object of the proposed scheme of merger is to square off the transaction between the applicant companies.	We acknowledge and appreciate your observations regarding the audited financial statements of the companies for the FY ended 31.03.2023. Upon review, we concur that the proposed scheme of merger/amalgamation will indeed nullify the significant crossholdings of investments/shares between the applicant companies. This consolidation will streamline operations, eliminate inter-company transactions, and create a more efficient and simplified corporate structure. The merger's primary objective is to achieve strategic synergies, enhance operational efficiencies, and unlock shareholder value. By squaring off transactions between applicant companies, we aim to eliminate complexities, reduce administrative burdens, and foster a more cohesive organizational framework. This merger will enable the combined entity to better leverage

	resources, capitalize on growth opportunities, and improve overall competitiveness.
It is mentioned at clause no.8 of the Scheme, the Scheme shall be effective from the effective date. However, as per Section 232(6) the scheme shall be effective from the appointed date. The Scheme of the merger contradict the aforesaid provision and therefore, the company requires to correct it as the Valuation of Shares are based on the financials as on the date of the appointed date.	We clarify that the Appointed Date as defined in the scheme, refers to March 31, 2023, or such other date as the Hon'ble National Company Law Tribunal, may approve and direct.
The company has not submitted the valuation report on the share exchange determination prepared by the registered valuer.	The Valuation Report on share exchange determination was prepared by the Registered Valuer and the same is attached in First Motion Petition in Volume 2 page number 232-251, Annexuxe-10.
In case of Transferee Company auditor has stated in the audit report for the FY eded 31.03.2023 that the company has paid all the statutory des except the income tax demand against the order passed u/s 147 of the Income Tax Act and appeal against the said order	We acknowledge the auditor's observation in the audit report for FY ended 31.03.2023, regarding the pending income tax demand against the order passed under Section 147 of the Income Tax Act. We confirm that the company has filed an appeal against the said order with the Commissioner of Income Tax (Appeals) and the

is pending with the commissioner of Income Tax Appeal-3 Lucknow.	matter is currently subjudice. We assure that the company has taken necessary steps to contest the demand and is committed to complying with the final outcome of the appeal. The pending demand does not impact the merger/amalgamation process, and we have made necessary disclosures in the scheme documents.
The Resultant Company may kindly be directed to comply with the provisions of section 232(3)(i) of the Companies Act, 2013 in regard to fee payable of its revised Authorized Share Capital.	Not Applicable.

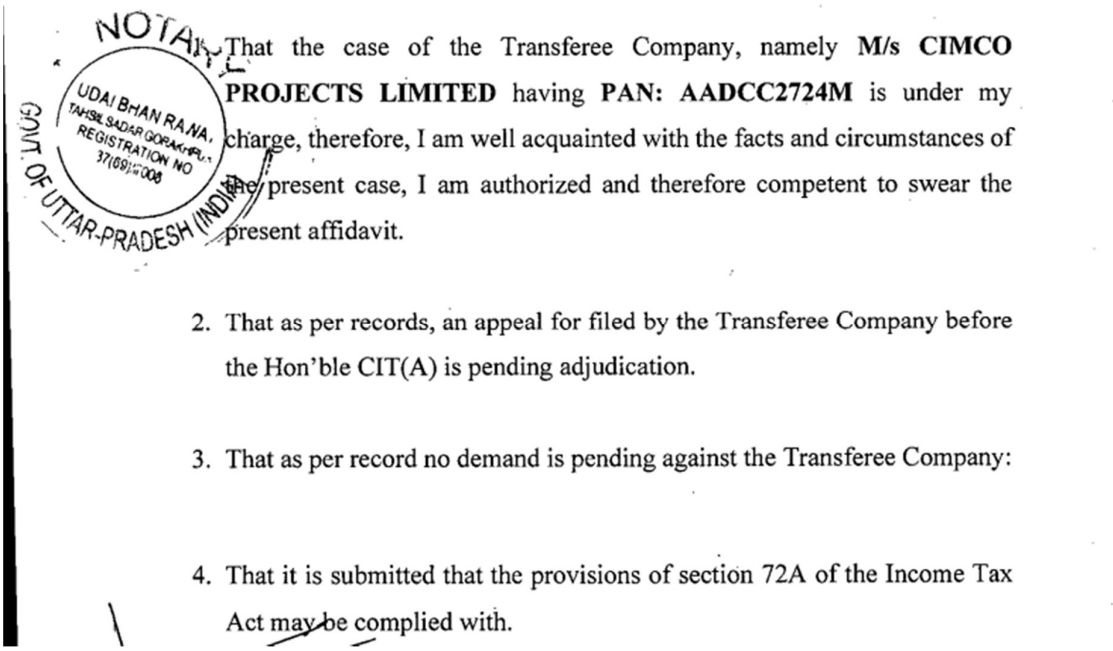
15. During the course of proceedings on 16.12.2024 the Learned Counsel appearing on behalf of RD submitted that there are certain observations in the report to which the Applicant has responded and they have no further observations to make. The order dated 16.12.2024 is reproduced below :

"The report filed by the RD is on record. It is stated by the Learned Counsel appearing for the RD that ***there are certain observations in the report to which the Applicant has responded and they have no further observations to make.*** *Learned Counsel appearing for the Income Tax Department seeks further time to file report. One week time granted as a last and final opportunity to do the needful."*

16. The Official Liquidator vide its report dated 15.05.2024 has submitted to this tribunal stating therein that on the basis of information submitted by the Petitioner Companies the official liquidator is of the view that the affairs of the Transferor company do not appear to have been conducted in a

manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act 2013.

17. The Income Tax Department vide its report dated 09.04.2025 has submitted to this tribunal stating therein that as per records, an appeal filed by Transferee Company is pending adjudication before CIT(A). No demand is pending against the Transferee Company. In the report it is submitted by the Income Tax Department that the provisions of section 72A of the Income Tax Act may be complied with. The relevant portion of the said report is reproduced below:



NOTARY
UDAI BHAN RANA,
TAHSIL SADAR GORAKHPUR,
REGISTRATION NO
37(69)/2008
GOVT. OF UTTAR-PRADESH (INDIA)

1. That the case of the Transferee Company, namely **M/s CIMCO PROJECTS LIMITED** having **PAN: AADCC2724M** is under my charge, therefore, I am well acquainted with the facts and circumstances of the present case, I am authorized and therefore competent to swear the present affidavit.

2. That as per records, an appeal for filed by the Transferee Company before the Hon'ble CIT(A) is pending adjudication.

3. That as per record no demand is pending against the Transferee Company:

4. That it is submitted that the provisions of section 72A of the Income Tax Act may be complied with.

18. This Tribunal vide order dated 24.02.2025 directed the Applicant to file an undertaking alongwith an affidavit with reference to income tax dues on behalf of concerned companies within ten days. The order dated 24.02.2025 is reproduced below:

"Ld. Counsel on behalf of Petitioner appears through VC. Report filed by OL as well as RD are on board. Mr. Sanjay Kumar, Ld. Counsel appearing on behalf of Income Tax Department seeks some time to file the report. As a last and final chance, one week time granted to enable the Income Tax Department to file the report.

The Applicant is directed to file an undertaking alongwith an affidavit with reference to income tax dues on behalf of concerned companies within ten days."

19. In compliance of order dated 24.02.2025 Mr. Surendra Jha, the authorized representative of the Petitioner Companies No. 1 to 4 has filed an undertaking the relevant portion of which is reproduced below:

"*3) That the Income tax department through its counsel acknowledged their No Objection against our scheme for Petitioner No 02 Company and informed to this Hon'ble Tribunal.*

4) That the demand as raised by the Income tax authorities against Petitioner No 04 company for the Assessment Year 2015-2016 and 2016-2017 has been appealed before CIT Appeal Lucknow and same has been allowed and demand raised by Assessing officer U/S 147 has been dismissed vide its order dated 19th July 2024, Copy Enclosed as Annexture A.

5) That I am undertaking on behalf of applicant number 1 to 3 to the Hon'ble Tribunal that whenever the Income Tax demands become crystallized and order will be pronounced by the INCOME TAX AUTHORITY/TRIBUNAL/COURT of any outstanding demand of income tax against applicant number 1 to 3 to Income tax authorities, the applicant number 4 (transferee Company) shall payoff the same to the concerned Income tax authorities without any delay.

6) That we have made already provisions in the scheme of amalgamation in clause 6.22 of the scheme providing that post amalgamation all tax assessment proceedings and appeals shall be continued with the transferee Company and all or any dues payable shall be paid by the transferee Company. The Transferee Company has undertaken to satisfy any and all demands raised by the tax authorities as would be determined in the proceedings."

20. The Transferor Company has undertaken to maintain the account in accordance with and as per the method of Amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of the Companies Act, 2013 read together with Paragraph 3 of the Companies

(Indian Accounting Standard) Rules, 2016 and other accounting principles generally accepted in India.

In this regard, Certified true copy of Certificate dated 06.02.2024 obtained from the Statutory Auditors of the Transferor Company confirming the accounting treatment proposed in the Scheme of Amalgamation are filed along with the Petition.

21. No investigation proceedings have been instituted and are pending in relation to the Transferor Company under sections 206 to 229 (Chapter XIV) of the Companies Act 2013.

22. Analysis and Finding

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Company and the Transferee Company and the Scheme will be beneficial to the Transferor Company, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Company, Transferee Company, their respective shareholders, creditors, employees and all concerned.

In view of the foregoing discussions and upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

23. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 232(7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation file a statement every year in Form CAA 8 along with the required fee with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of Amalgamation i.e., 31.03.2023 is confirmed by this Tribunal.

24. This Tribunal does further order: -

i. That the Transferor Company shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Company on the said date; and

vi. That the Petitioner Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

25. Accordingly, the Scheme stands **sanctioned** and **CP(CAA) 13 (ND)/2024** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

-Sd/-
(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

-Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)